

Strategy Individual Interview Round

Case:

HeyTea U.S. Expansion Background: Our client is HeyTea (喜茶), a Chinese premium tea chain founded in 2012, credited with pioneering the "cheese tea" and modern fruit tea category that now defines the global new-style tea beverage industry. HeyTea entered the U.S. in 2023 and has since opened dozens of stores across cities like New York, Los Angeles, and San Francisco, betting that American Gen Z consumers, already primed by boba culture and TikTok food trends, will embrace the brand the way Chinese consumers did a decade ago. But the U.S. market looks nothing like China's: rent and labor costs are far higher, the boba/bubble tea category is already crowded with established players like Gong Cha, Sharetea, and CoCo, and HeyTea must also compete for the same Gen Z dollar and attention span as Starbucks, Dunkin', and a constant churn of other TikTok-viral food and drink trends. There are two primary dynamics shaping HeyTea's U.S. position:

Premium Pricing in an Unfamiliar Market

In China, HeyTea has had to cut prices sharply to survive a brutal price war with ultra-low-cost chains like Mixue. In the U.S., HeyTea has taken the opposite approach, launching at a premium price point (many drinks \$6-8) with no discounting to speak of, betting that Americans will treat it like a specialty, Instagrammable treat rather than a daily commodity purchase. This protects margins but raises the risk that HeyTea becomes a one-time novelty rather than a habitual stop, especially against cheaper boba competitors already embedded in many U.S. cities.

Viral Launch Moments

Each new HeyTea U.S. store opening has been engineered to go viral, with hours-long lines, limited-edition merchandise (tote bags, cups, stickers), and heavy TikTok and Instagram coverage of the "aesthetic" in-store experience. These launch-day moments generate enormous short-term buzz and press coverage but are, by nature, one-time spikes tied to novelty and scarcity rather than sustained daily demand.

To sustain growth into 2026 and beyond, HeyTea must decide how to convert its high-profile U.S. launch buzz into a durable, everyday habit among American Gen Z

consumers, without either discounting away the premium positioning that differentiates it or remaining a short-lived "have you tried it yet" novelty.

Overarching Challenge:

How can HeyTea sustain its cool factor and traffic momentum among American Gen Z consumers without becoming just another viral-launch-day novelty that fades once the next TikTok trend takes its place?

You'll have 15 minutes to answer the following questions. It is up to you to decide how long to spend on each one. You may use the charts if you wish, but they are not a requirement.

Questions:

1. HeyTea spends \$2 million on a social campaign targeting U.S. Gen Z consumers that reaches 50 million people. As a result of the campaign, what percent of people do you think will convert to a visit? Based on this, will the campaign pay for itself? Assume each guest spends \$8 per visit.
2. HeyTea's U.S. store openings go viral on TikTok and Instagram, driving hours-long lines and sold-out merchandise on launch day, but each of these moments fades within days or weeks once the novelty wears off. Suggest strategies to convert these one-time viral visitors into long-term, repeat customers in U.S. markets.
3. Gen-Z in the U.S. is known to prefer delivery, with the percentage of Gen-Z users who use apps like DoorDash, Uber Eats, and Grubhub rising each year. Given that HeyTea's in-store "aesthetic" and line culture are a key part of the brand experience, suggest strategies for ensuring American Gen Z consumers visit the physical store rather than defaulting to delivery.

Resources:

HeyTea U.S. Store Count and Average Ticket Price by City, 2023-2026